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Perhaps the most important proposal for the reshaping of India's future path during my tenure was the NDA government's proposal to 'Make in India'. I thought this was an excellent idea, for it would mean the government would focus on improving India's capacity to produce, whether it be goods or services, either for the domestic economy through import substitution, or for the global economy through exports. I thought it important to clarify that making in India did not necessarily mean selling primarily to the export markets. Given both slow global growth, as well as increasing protectionism, we should not rule out making for the large and vibrant Indian market. Indeed, for a while, this could well be the primary growth market for Indian products. In the short run, we would probably make in India, largely for India. The longer run could be different, depending on how circumstances developed. This is what I laid out in my Dr Bharat Ram Lecture, delivered in Delhi in December 2014, which was primarily a speech about how we should manage risks if we catered primarily to domestic demand.

Make in India, Largely for India

The global economy is still weak, despite a strengthening recovery in the United States. The Euro area is veering close to recession, Japan has already experienced two quarters of negative growth after a tax hike, and many emerging markets are rethinking their export-led growth models as the industrial world stagnates. In the last couple of years, the IMF has repeatedly reduced its growth forecasts. After six years of a tepid post-crisis recovery, the IMF titled its most recent World Economic Outlook 'Legacies, Clouds, Uncertainties'.

WHAT ABOUT EMERGING MARKETS?

Slow industrial country growth has made more difficult a traditional development path for emerging markets – export-led growth. Indeed, in the last decade, even as China developed on the back of its exports to industrial countries, other emerging markets flourished as they